

Understanding Your SACCO Loan Repayment Budget

How to plan your monthly budget around your loan obligations | Uganda SACCO Regulatory Authority

Your Loan Repayment Is Your Most Important Budget Line

When you take a SACCO loan, you make a legal and moral commitment to repay it on a fixed schedule. Missing that repayment hurts your credit record, attracts penalties, puts your guarantor at risk, and may result in your SACCO membership being suspended.

The safest approach is to treat your loan repayment exactly like rent — a non-negotiable fixed cost that must be paid before anything else.

How Your Monthly Repayment Is Calculated

Most Ugandan SACCOs use the reducing-balance method. Your monthly instalment (called the EMI — Equated Monthly Instalment) is calculated using this formula:

$$EMI = P \times r \times (1 + r)^n \div ((1 + r)^n - 1)$$

Where: P = amount borrowed (principal), r = monthly interest rate (annual rate ÷ 12), n = number of monthly instalments.

Example: You borrow UGX 1,000,000 at 15% per year over 12 months. Monthly rate $r = 15\% \div 12 = 1.25\%$. EMI = UGX 90,258 per month. Total repaid = UGX 1,083,096. Interest cost = UGX 83,096.

Month	Opening Balance	Interest (1.25%)
1	1,000,000	12,500
2	922,242	11,528
3	843,512	10,544
6	576,271	7,203
12	89,303	1,116

Notice how the interest portion shrinks every month while the principal portion grows. This is the reducing-balance advantage — you pay less interest over time.

Building Your Budget Around the Repayment

Once you know your exact monthly EMI, build your budget in this order:

1. Write down your monthly income (use the reliable minimum, not the best case).
2. Subtract your loan EMI immediately — this is already gone.
3. Subtract rent and school fees — also fixed and non-negotiable.
4. From what remains, allocate food, transport, savings, and personal spending.

5. If what remains after steps 2–3 is not enough to cover food and transport, your loan is too large for your income. Speak to your SACCO officer about restructuring.

What Happens If You Miss a Repayment?

Late payment penalty: typically 5% of the overdue amount per month. On an EMI of UGX 90,000, that is UGX 4,500 extra per month of delay.

Compounding arrears: missed payments do not disappear. They are added to your outstanding balance and continue to attract interest.

Guarantor liability: the person who guaranteed your loan becomes responsible for the missed amount. This damages your relationship and their financial standing.

Credit record: your SACCO records all late payments. A poor record reduces your eligibility for future loans and may result in a lower loan limit.

If you are going to miss a payment, call your SACCO officer before the due date — not after. Early communication almost always results in a better outcome than silence.

Strategies to Never Miss a Repayment

Set up a standing order: instruct your bank or mobile money provider to transfer the exact EMI amount to your SACCO account on payday automatically.

Create a loan repayment sub-wallet: on payday, immediately move the EMI amount into a separate mobile money account labelled 'Loan — Do Not Touch'.

Build a one-month buffer: save one extra EMI amount in your emergency fund specifically for the loan. If income is low one month, this covers the payment.

Track your remaining balance: ask your SACCO for a statement every three months. Knowing your exact balance motivates continued repayment and catches any errors.